Arizona. For the San Simon project (Cienega area) transferred to the Department by Executive Order 10322, the fees shall be $2.03 per AUM.

Colorado. For the Great Divide project transferred to the Department by Executive Order 10046, the fees shall be $2.03 per AUM.

Montana. For all LU lands within districts transferred to the Department by Executive Order 10787, the fees shall be $2.03 per AUM.

New Mexico. For the Hope Land project transferred to the Department by Executive Order 10787, the fees shall be $1.98 per AUM. For the San Simon project (Cienega area) transferred to the Department by Executive Order 10322, the fees shall be $2.03 per AUM.

OUTSIDE STATUTORY GRAZING DISTRICTS (EXCLUSIVE OF ALASKA)

Pursuant to Departmental regulations (43 CFR 4130.5-(a)), the rate for grazing leases except as otherwise provided herein, shall be $1.89 per AUM.

Exceptions to the above rate are hereby set as follows for certain Lu project lands and for all O&C and intermingled public domain lands in Western Oregon in order to continue the basis of fees that has heretofore been established:

Montana. For those Milk River project lands outside districts transferred to the Department by Executive Order 18787, the fees shall be $2.03 per AUM.

Wyoming. For the Northeast Wyoming project lands transferred to the Department by Executive Order 10046 and amended by Executive Order 10175, the fee shall be $2.03 per AUM.

Western Oregon. For Western Oregon, the fee shall be $2.03 per AUM.

GARY J. WICKS,
Deputy Assistant Secretary of the Interior.

FEBRUARY 1, 1979.

[FR Doc. 79-4366 Filed 2-7-79; 8:45 am]

[4410-01-M]

DEPARTMENT OF JUSTICE

Antitrust Division

UNITED STATES V. BRISTOL-MYERS COMPANY ET AL.

Public Comments and Government's Response Thereto Relating to Proposed Final Judgment Against the Beecham Defendants

Pursuant to requirements of the Antitrust Procedures and Penalties Act, 15 U.S.C. 16(d), set out below are: two separate public comments received from (1) Professor John C. Sheehan, Massachusetts Institute of Technology, and Arthur D. Little, Inc., and (2) Ayerst Laboratories Division of American Home Products Corporation; objections of Bristol-Myers Company (a defendant in this lawsuit); and the government's responses thereto, all relating to a proposed final Judgment against Beecham Group Limited and Beecham Inc. in *U.S.* v. *Bristol-Myers et al.*, M.D.L. Docket No. 50, Civil Action No. 822-70 (D.D.C.).

Dated: January 29, 1979.

CHARLES F. B. MCALEER,
Special Assistant for Judgment Negotiations.

U.S. DISTRICT COURT FOR THE DISTRICT OF COLUMBIA

United States of America, Plaintiff, v. *Bristol-Myers Company, Beecham Group Limited, and Beecham Inc.* Defendants.

M.D.L. Docket No. 50.

Civ. No. 822-70.

RESPONSE OF THE UNITED STATES TO COMMENTS OF SHEEHAN ET AL., RELATING TO PROPOSED FINAL JUDGMENT AGAINST THE BEECHAM DEFENDANTS

Pursuant to 15 U.S.C. 16 (b), the United States submits this response to comments [1] received from Professor John C. Sheehan, Arthur D. Little, Inc., and Massachusetts Institute of Technology (collectively "Sheehan et al."), in connection with a proposed Final Judgment that would, if approved by the Court, dispose of this action against Beechan Group Limited and Beecham Inc. The comments seek certain modifications in both the proposed Judgment and the Competitive Impact Statement ("CIS"). These modifications are intended, according to the comments, to remove any possible "inaccuracy or ambiguity concerning the ownership of U.S. Patent No. 3,159,617," [2] and to avoid the possibility of any unfavorable and inadvertent impact on Sheehan et al.'s interests concerning that patent.

After careful consideration of these comments, we have concluded that the changes requested by Sheehan et al. are unnecessary for two reasons. First, the clarification provided in this response makes it reasonably certain, even without the modifications requested, that neither the proposed final judgment nor the CIS will have any unfavorable impact on Sheehan et al.'s interests in U.S. Patent No. 3,159,617, or will result in any ambiguity concerning the ownership of that patent. Second, such modifications would probably be largely ineffective as a remedial measure anyway since both the proposed judgment and CIS have already been published in the FEDERAL REGISTER and a summary of them published in at least one newspaper.

1. A statement is made in the comments about "possible inaccuracy * * * concerning the ownership of U.S. Patent No. 3,159,617." Apparently, that statement refers, in turn, to a statement in the CIS (p. 5, n. 3) that U.S. patent No. 3,159,617 was "assigned" to defendant Bristol-Myers Company ("Bristol"). Actually, the patent issued to Dr. Sheehan, a professor at M.I.T., who had previously assigned to Arthur D. Little, Inc. ("ADL") the patent application that ultimately issued as U.S. Patent No. 3,159,617. By an agreement of April 25, 1961, ADL, in turn, granted to Bristol certain rights in that patent application; those rights are described in the agreement as "an exclusive license, including the right to grant sublicenses" (Art. II). Bristol has exercised that right several times; on January 1, 1967, Bristol granted to Beecham Group Limited, under U.S. Patent No. 3,159,617, rights that are described as "a non-exclusive sublicense, *not* including the right to grant further sublicenses" (emphasis added). Therefore, it seems clear from this that Beecham has no right to grant to anyone else any rights in that patent.

2. Several statements are made in the comments about the possibility of an inadvertently unfavorable impact upon Sheehan et al., and about possible ambiguity in the ownership of U.S. Patent No. 3,159,617. Apparently, those statements refer, in turn, to references to that patent in footnotes 3 and 7, on pages 5 and 16, respectively, of the CIS. The patent is referred to in the CIS because it is part of the factual background of this litigation, because the defendants Beecham and Bristol both have some rights under it, and because the patent is the subject of an agreement between them. Whatever possibility of unfavorable impact or ambiguity may exist by virtue of references to the patent in the CIS, it is clear, from the facts set forth above, that those semisynthetic penicillin patents that Beecham has the right to license do not include U.S. Patent No. 3,159,617.

3. As for the proposed Final Judgment, it makes no specific reference at all to U.S. Patent No. 3,159,617, although the patent is embraced within the Judgment's broad definition of "semisynthetic penicillin patents" (Art. II(L)). That definition also embraces a number of other patents that Beecham has licensed to Bristol, and that, like U.S. Patent No. 3,159,617, Beecham has no further right to license or sublicense. The proposed Judgment was so structured because we did not know, and did not want to assume the burden of finding out, precisely what relevant Patents Beecham actually had the right to license. By broadly defining

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[1] "Comments on Final Judgment Published November 3, 1978, in the FEDERAL REGISTER Vol. 34—No. 214," dated December 20, 1978 ("comments").

[2] As the CIS correctly notes, that patent relates to a process (called acylation) for making semisynthetic penicillins from 6-aminopenicillanic acid.